

The complaint

Mr P is unhappy that Wise Payments Limited will not refund the money he lost as the result of an authorised push payment (APP) scam.

Mr P has brought his complaint to this service through a representative. For ease I will refer solely to Mr P in this decision.

What happened

As both parties are familiar with the details of the scam, I will not repeat them in full here. Mr P fell victim to a job/task scam. In summary, he was contacted by the scammer via WhatsApp and offered the opportunity to earn commission by completing tasks online to optimise apps. He made the following faster payments via a clearing bank to an account at a cryptocurrency trading platform to allow him to access the tasks.

payment	date	value
1	06/11/2024	£100
2	06/11/2024	£150
3	06/11/2024	£100
4	09/11/2024	£8,478.34
5	09/11/2024	£21,184.44
6	09/11/2024	£41,929.88
7	13/11/2024	£17,000

Mr P realised he had been scammed when he kept being told he had to deposit more funds in order to withdraw his commission.

Mr P says Wise did not do enough to protect his money. Wise says the payments were not out of character for Mr P's account so it was not wrong to follow his payment instructions.

Our investigator upheld Mr P's complaint in part. She said Wise ought to have intervened at the time of payment 4 and had it provided a tailored warning, it would likely have prevented the scam from progressing. But as Mr P could also have done more to check the legitimacy of the opportunity the parties should share the liability for the loss from payment 4 onwards.

Mr P accepted this assessment. Wise did not. It said the payments were not to an identifiable cryptocurrency platform and the values were not unusual for Mr P's account. It was not the point of loss – Mr P moved the funds to an account in his name he had control of. In any case, a scam warning would not have stopped Mr P. He's a financially sophisticated person and Wise believes he knew what he was doing and understood the dangers of investing in cryptocurrency.

Our investigator explained that the sort code of the recipient account at the clearing bank is for FORISGFS which operates under the trading name crypto.com so it is reasonable to expect Wise to have identified payment 4 as linked to cryptocurrency - and therefore higher

risk. Had Wise provided a job/task warning there was no reason to think Mr P would not have taken heed. She said she had already agreed there was some negligence on Mr P's part and that was why the liability was to be shared.

Wise continued to disagree with the assessment and asked for an ombudsman's review.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

In broad terms, the starting position at law is that an Electronic Money Institution (EMI) such as Wise is expected to process payments and withdrawals that a customer authorises it to make, in accordance with the Payment Services Regulations (2017) and the terms and conditions of the customer's account.

But, taking into account relevant law, regulators rules and guidance, relevant codes of practice and what I consider to have been good industry practice at the time, I consider it fair and reasonable in November 2024 that Wise should:

- have been monitoring accounts and any payments made or received to counter various risks, including preventing fraud and scams;
- have had systems in place to look out for unusual transactions or other signs that might indicate that its customers were at risk of fraud (among other things). This is particularly so given the increase in sophisticated fraud and scams in recent years, which firms are generally more familiar with than the average customer;
- have acted to avoid causing foreseeable harm to customers, for example by maintaining adequate systems to detect and prevent scams and by ensuring all aspects of its products, including the contractual terms, enabled it to do so;
- in some circumstances, irrespective of the payment channel used, have taken additional steps, or made additional checks, or provided additional warnings, before processing a payment;
- have been mindful of – among other things – common scam scenarios, how the fraudulent practices are evolving (including for example the common use of multi-stage fraud by scammers, including the use of payments to cryptocurrency accounts as a step to defraud consumers) and the different risks these can present to consumers, when deciding whether to intervene.

To note, as the faster payments were made to an account in Mr P's name, and control, the Faster Payment Scheme (FPS) mandatory reimbursement rules for APP scams are not applicable.

In this overall context I find Wise can be held liable in part for Mr P's loss. I'll explain why.

As the investigator has said payment 4 was to an identifiable cryptocurrency exchange. This means that whilst the value alone did not make the payment out of character for Mr P's account, it was to a crypto account and by November 2024, when this payments took place, I think that Wise should have recognised that payments to cryptocurrency carried a higher risk of being associated with fraud. And responded appropriately with an intervention.

Since 31 July 2023, when the FCA's new Consumer Duty came into force, there has been an obligation on firms to avoid foreseeable harm to customers. The Consumer Duty Finalised Guidance FG 22/5 (Paragraph 5.23) gives an example of foreseeable harm:

“consumers becoming victims to scams relating to their financial products for example, due

to a firm's inadequate systems to detect/prevent scams or inadequate processes to design, test, tailor and monitor the effectiveness of scam warning messages presented to customers"

This means a proportionate warning should have asked a series of questions in order to try and establish the precise scam risk. And by November 2024 given the prevalence of job/task scams we'd expect a firm to have both questions and warnings tailored towards the key risks of those scams. Wise has said Mr P would have understood the risk of investing in cryptocurrency so warning would not have changed his actions. But he was not investing, he was paying to access tasks. And Wise's intervention needed to ask a series of question to allow it to identify the right scam risk. And then provide the relevant warning.

I would have expected a proportionate warning in this case to cover – for example: lucrative pay in exchange for little work; unsolicited contact via WhatsApp; being directed to a well-designed but fake website; the 'employer' asks for upfront payment; and/or 'training' is done on a WhatsApp group with other more experienced 'employees'. And this scam had most of these characteristics so it is reasonable to conclude it's most likely the warning would have resonated with Mr P.

It follows he would most likely not have progressed with payment 4 and the subsequent payments.

Wise argues that Mr P would not have listened to any warning. He is someone with lots of HR experience so would have been confident he knew what he was doing. But he works in IT consultancy, specialising in payroll processing – that is not at all the same as being an expert in HR policies. His testimony confirms he had no experience of remote opportunities involving working from home. So I remain satisfied he would have listened to a relevant warning. There is no evidence he had been provided with a cover story by the scammer, or been told not to be transparent with his bank. And there is evidence in Mr P's WhatsApp messages with the scammer that he was already somewhat concerned about how the 'job' was working.

It is reasonable in these circumstances that Wise is held liable, in part, from payment 4 onwards.

Should Mr P bear some responsibility for the overall loss?

I've considered carefully whether Mr P should hold some responsibility for his loss by way of contributory negligence. Accepting that he is the lay person and Wise the fraud expert, I think he should be held responsible in part. The scammer was hiding behind a legitimate company but there were a number of red flags. Mr P had been contacted unexpectedly via WhatsApp. He had with no contract of employment and made significant upfront payments. The commissions he was promised fell into the category of 'too good to be true' for the work involved. Legitimate income opportunities aren't found or structured in this way.

Overall, I'm not satisfied that it was reasonable for Mr P to proceed without better independent checks.

I am therefore instructing Wise to refund only 50% of Mr P's loss from payment 4.

Did Wise do what it should to try to recover Mr P's money?

I have thought about whether Wise could have contacted the crypto platform to recover the funds. But as Mr P knows, he had moved the funds on from there to the scammer so that would not have been successful. It follows I do not find any failings on its part in this regard.

Putting things right

Wise must:

- Refund 50% of the losses from payment 4 onwards; and
- Pay interest on the above amount at the rate of 8% simple per year from the date of each payment to the date of settlement.*

*If Wise considers that it's required by HM Revenue & Customs to deduct income tax from that interest, it should tell Mr P how much it has taken off. It should also give Mr P a tax deduction certificate if he asks for one.

My final decision

I am upholding Mr P's complaint in part. Wise Payments Ltd must put things right as set out above.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr P to accept or reject my decision before 7 October 2025.

Rebecca Connelley
Ombudsman